



GRETCHEN WHITMER
GOVERNOR

STATE OF MICHIGAN
DEPARTMENT OF
ENVIRONMENT, GREAT LAKES, AND ENERGY
GAYLORD DISTRICT OFFICE



LIESL EICHLER CLARK
DIRECTOR

September 30, 2021

VN No. VN-012230

VIA EMAIL

Mr. Jeffrey Dietlin, Director of Utilities
City of Cadillac
200 North Lake Street
Cadillac, Michigan 49601

Dear Mr. Dietlin:

SUBJECT: Violation Notice
National Pollutant Discharge Elimination System (NPDES) Permit No. MI0020257
Industrial Pretreatment Program (IPP) Pretreatment Compliance Inspection

The Department of Environment, Great Lakes, and Energy (EGLE), Water Resources Division (WRD), inspected the Cadillac Wastewater Treatment Plant (WWTP), located at 1121 Plett Road, Cadillac, Michigan 49601, on September 9, 2021, to determine compliance with Part 31, Water Resources Protection, of the Natural Resources and Environmental Protection Act, 1994 PA 451, as amended (NREPA), MCL 324.3101 *et seq.*, and the administrative rules promulgated thereunder being 2006 AACRS R 323.2101 *et seq.*, as amended; and NPDES Permit No. MI0020257 (Permit); and the Michigan pretreatment requirements in the NPDES Permit, which was issued on August 30, 2019, effective September 1, 2019.

The inspection was conducted remotely, including a phone interview with Mr. Douglas Langworthy of Cadillac WWTP, a review of the Enforcement Response Plan (ERP), and a review of the file on the Industrial User (IU), Cadillac Casting Inc., (CCI), including Cadillac WWTP effluent sample analysis results for the period January 2020 to July 2021, violation notices issued to CCI in response to those sample results, the current permit issued by the Cadillac WWTP to CCI (IU Permit), and the documentation of the most recent inspection completed by the Cadillac WWTP at the CCI facility.

The following violations were identified during our inspection:

1. The review of the ERP, the Cadillac WWTP IPP annual report, the interview with Mr. Langworthy, and the effluent violations and violation notices issued to CCI show that Cadillac WWTP has failed to implement the approved ERP. The violations recorded in the effluent sampling results for CCI show that CCI was in violation of the IU Permit effluent limits shown in the table below. The Cadillac WWTP IPP annual report for 2020 shows that Cadillac WWTP correctly determined that CCI was in significant non-compliance (SNC) for these violations and published a notice of SNC as required. However, Cadillac WWTP did not respond to the determination of SNC as required under the approved ERP which states that all SNC must be addressed with an enforceable order within 60 days. The violation notices issued to CCI did not include a requirement to return to compliance or any required corrective actions or compliance schedule to be completed by CCI. In follow up correspondence, Mr. Langworthy stated

that Cadillac WWTP had not taken any escalated enforcement actions as stated in the ERP beyond issuing a notice that the limits had been violated and publishing SNC notices. The interview portion of the inspection also showed that CCI failed to submit a Spill Prevention Plan by April 1, 2021, as required under the IU Permit. The ERP states that Cadillac WWTP must respond to non-compliance within 15 days of becoming aware of the violation. The ERP also states that the expected response to a significant reporting violation (more than 30 days late) is at minimum the issue of a violation notice. Cadillac WWTP did not provide any documentation of having responded to the missed compliance date. Failure to implement the approved ERP is a violation of R 323.2306(g) and the NPDES Permit.

Effluent Parameter	Sampling period	Maximum Monthly Average Permit Limit	SNC Technical Review Criteria	Effluent Monitoring Result
Cadmium	August 2020	2 ug/L	2.4 ug/L	3 ug/L
Molybdenum	January 2020	118 ug/L	141.6 ug/L	240 ug/L
Molybdenum	February 2020	118 ug/L	141.6 ug/L	310.0 ug/L
Molybdenum	March 2020	118 ug/L	141.6 ug/L	147.7 ug/L
Molybdenum	May 2020	118 ug/L	141.6 ug/L	130.0 ug/L
Molybdenum	June 2020	118 ug/L	141.6 ug/L	219.0 ug/L
Molybdenum	August 2020	118 ug/L	141.6 ug/L	227.0 ug/L
Molybdenum	October 2020	118 ug/L	141.6 ug/L	209.0 ug/L
Molybdenum	November 2020	118 ug/L	141.6 ug/L	134.8 ug/L
Molybdenum	March 2021	118 ug/L	141.6 ug/L	245.5 ug/L
Molybdenum	April 2021	118 ug/L	141.6 ug/L	126.0 ug/L

Molybdenum	May 2021	118 ug/L	141.6 ug/L	204.5 ug/L
Molybdenum	June 2021	118 ug/L	141.6 ug/L	159.0 ug/L
Molybdenum	July 2021	118 ug/L	141.6 ug/L	142.8 ug/L

Required Action: Cadillac WWTP must take immediate action to bring CCI into compliance with the permit requirements and limits. The action taken by Cadillac WWTP must comply with the approved ERP.

- The review of the effluent sampling results showed that CCI's effluent violated the maximum monthly average permit limit for Cadmium for August 2020. The sample result for the following month showed that Cadmium was not resampled within 30 days of this effluent violation. Where sampling indicates a permit effluent violation, resampling must be completed within 30 days of becoming aware of the violation either by Cadillac WWTP or by the permittee. Failure to resample within 30 days following a violation of the permit effluent limits is a violation of R 323.2310(6) and the NPDES Permit.

Required Action: Cadillac WWTP must either require the permittee to resample or must resample on the permittees behalf within 30 days of becoming aware of an effluent violation. Cadillac WWTP must state this requirement in the permit issued to all Significant Industrial Users (SIU). If Cadillac WWTP conducts sampling on behalf of the permittee Cadillac WWTP must develop and implement procedures to ensure that resampling is completed as required.

- The interview section of the inspection, review of CCI inspection records for January 14, 2021, and review of the IU Permit showed that the records and information on file for CCI either do not exist or are inadequate to determine compliance with the pretreatment standards. The current IU Permit issued to CCI states that the facility is classified as a categorical industry (cast iron foundry). All categorical effluent limitations under Part 464, Subpart C (Metal Molding and Casting Category, Ferrous Casting Subcategory) are production-based. The application of production-based categorical limits requires detailed information on the processes discharging wastewater, effluent flow, rates of production for each process, and if necessary, detailed knowledge of how effluent is combined prior to sampling. Cadillac WWTP cannot provide any documentation of the processes at the CCI facility that produce wastewater discharged to the sanitary sewer, categorical or otherwise. Cadillac WWTP cannot provide a flow diagram of the CCI facility or any effluent flow data for the CCI facility, any production data, or the dates when processes began discharging to the sanitary sewer. Based on the information available, it is not possible for Cadillac WWTP to determine which, if any, categorical limits apply to the CCI facility. Cadillac WWTP is required to maintain an updated list of non-domestic users and must identify which of those users are subject to categorical standards. Failure to maintain such information is a violation of R 323.2310(8)(a) and the NPDES Permit. Cadillac WWTP must require users identified as Categorical Industrial Users (CIUs) to submit the information necessary to determine which standards apply and to determine compliance with the standard. Failure to require submission of the necessary information is a violation of R 323.2310 and the NPDES Permit.

Required Action: Cadillac WWTP must require CCI to submit information on the processes discharging wastewater to the sanitary sewer to determine which, if any, categorical standards apply. If it is determined that CCI discharges any categorical waste to the sanitary sewer Cadillac WWTP must require submission of a report containing all the information necessary to apply the appropriate categorical standards. At a minimum, this report must include the information listed under R 323.2310(2). If it is determined that CCI does not discharge any categorical wastestreams to the sanitary sewer this determination must be documented and maintained in Cadillac WWTP pretreatment records in accordance with R323.2310(14).

Recommended Action: It is recommended that Cadillac WWTP develop a standard permit application form requiring IUs to submit the information necessary to determine if they are an SIU or CIU, and which categorical standards may apply. It is also recommended a permit renewal application is used to identify any changes to IU processes not reported to Cadillac WWTP which may affect the content of the renewed permit.

4. The review of the IU Permit issued to CCI by Cadillac WWTP showed the following deficiencies.
 - a) The current IU Permit effective date precedes the issued date. The permit cannot require compliance before it has been issued to the permittee. Cadillac WWTP must ensure that the permit is an enforceable document as required under R 323.2306(a)(iii).
 - b) The IU Permit states that the CCI facility is classified as a categorical industry (cast iron foundry), however the IU Permit does not contain any categorical limits as stated under Part 464, Subpart C (Metal Molding and Casting Category, Ferrous Casting Subcategory) or any equivalent limits calculated by Cadillac WWTP. The permit must contain effluent limits based on applicable general and categorical pretreatment standards. Failure to include applicable pretreatment standards in the IU Permit is a violation of R 323.2306 and the NPDES Permit. Failure to require existing sources to attain compliance with the categorical pretreatment standards within three years of the effective date of the standard is a violation of R 323.2311(3) and the NPDES Permit.
 - c) The IU Permit under Section 3 requires that CCI submits annually an organic compounds certification statement. Section 3 states that this certification statement is a requirement of the categorical standard. The Part 464 categorical standards do not include an option to submit a certification statement in lieu of sampling. 40 CFR 464.03 requires CIUs subject to Total Toxic Organics (TTO) limits to sample for the TTO pollutants listed for the categorical discharge process or to sample for Oil and Grease and comply with the alternative Oil and Grease limit. Failure to require sampling to demonstrate compliance with applicable pretreatment standards is a violation of R 323.2306 and the NPDES Permit.
 - d) The IU permit does not contain any requirement to submit a semi-annual report containing the information required under 40 CFR 403.12(e) and R 323.2310(4). It is not possible for Cadillac WWTP to determine compliance with any of the production-based limits under Part 464 without the production and process flow data that must be included in the semi-annual report. Failure to require submission of a semi-annual

report of flow and production data is a violation of R 323.2310 and the NPDES Permit.

- e) The IU Permit identifies a single sampling point for the CCI facility from a manhole on the southside of the property line. This sampling location is used to collect samples to ascertain compliance with the local limits as stated in the CCI IU permit. A single sampling point for compliance with categorical and local limits is inappropriate unless a CIU is discharging sanitary waste at a different point. During the interview, Mr. Langworthy stated he did not believe there was a separate discharge for sanitary waste at the CCI facility. The IU Permit must identify a separate sampling point for categorical process wastewater which ensures dilution is not used as a substitute for adequate treatment (R 323.2311(6)).
- f) The IU Permit states that composite samples may be collected either on a time-proportional or flow-proportional basis. Where the concentration of pollutants and the volume of flow through a sample point are variable, a time-proportional composite will not produce a sample representative of the discharge. As there is insufficient information on flow or pollutant concentration from a representative sampling location, it is not possible to determine if a time-proportional composite would produce a representative sample. The IU permit must require the permittee to collect samples that are representative of the discharge. If a composite sample type other than a flow-proportional composite is used for compliance sampling the permittee must demonstrate that the sample is representative of the discharge. Failure to require effluent sampling that is representative of the discharge is a violation of 323.2310(2)(e) and the NPDES Permit.

Required Actions: Cadillac WWTP must revise the IU Permit issued to CCI. If under the review required under item 3 it is determined that CCI is not a CIU then Cadillac WWTP must revise the IU Permit to remove the language referring to CCI as a categorical industry and associated requirement to submit an organics certification statement. If the review determines that CCI is a CIU the IU Permit must be revised to include the following; appropriate categorical permit limits based on the information collected under item 3; representative sampling points which segregate the regulated wastestream(s) or adjusted categorical limits based on the combined wastestream formula (CWF); representative sample collection requirements including flow proportional composite samples where appropriate; a requirement to comply with the most restrictive limit where more than one effluent limit is applicable for the same parameter; a requirement to submit semi-annual reports including appropriate measures of flow and production as required under R 323.2310(4), the results of sampling and analysis of the discharge unless sampling and analysis is performed by Cadillac WWTP on behalf of the permittee, and any certification statements required by the categorical standard. The requirement to submit an organics certification statement under section three of the permit must also be removed.

- 5. The interview section of the inspection and offsite review of Cadillac WWTP discharge monitoring reports showed NPDES effluent violations for Copper during April 2020, May 2020, and two violations during August 2021. During the interview section of the inspection, Mr. Langworthy attributed these violations to changes to the permit limits for Copper in the most recently issued version of the NPDES Permit. The Cadillac WWTP NPDES Permit limit for Copper changed from report only in version 5.1 to a maximum monthly average limit of 11 ug/L and 0.3 lbs/day, and a daily maximum limit of 31 ug/L

and 0.82 lbs/day in version 6.0. Version 6.0 of the NPDES Permit also added new effluent limits for Selenium and Bis(2-ethylhexyl)phthalate. The addition of new limits in the NPDES Permit resulting in effluent limit violations shows that the current local limits must be evaluated. Local limits must be reviewed and updated when new water quality standards are established, failure to do so is a violation of the NPDES Permit and R 323.2303(4).

Required Action: The local limits must be reviewed and updated as the review determines necessary. The local limits must be developed and enforced to prohibit any discharge to the sanitary sewer that causes in whole or in part, any violation of the NPDES Permit, including pass-through and interference. Local limits must be based on data representative of actual conditions demonstrated in a Maximum Allowable Headworks Loading analysis.

6. The review of the Cadillac WWTP file on CCI, the most recent inspection report for CCI, the current IU Permit, and interview with Mr. Langworthy showed that Cadillac WWTP staff may not have sufficient training or time to effectively implement the program. The deficiencies listed under Items 3 and 4 above indicate there may be a lack of understanding of the pretreatment standards and the information required to implement the program. The review of the report for the most recent inspection completed at CCI by Cadillac WWTP staff also shows that staff are unable to provide relevant responses on the inspection form that indicate understanding of pretreatment program requirements. The interview section of the inspection also showed that Mr. Langworthy had not received any additional training in administering a pretreatment program since the last inspection. Failure to provide sufficient resources and qualified personnel to effectively implement the approved pretreatment program is a violation of R323.2306(e) and the NPDES Permit.

Required Action: Cadillac WWTP must provide adequate resources and staffing to implement the pretreatment program. This includes correction to the above required deficiencies and to correctly implement the pretreatment program to other industrial users not reviewed during the scope of this inspection.

Recommended Action: The above-listed violations are significant and indicate that Cadillac WWTP staff may be unable to complete the required corrective actions within a reasonable timeframe. It is recommended that Cadillac WWTP consider employing outside assistance with expertise in pretreatment program development and implementation to support Cadillac WWTP staff with the required corrections and with evaluation of the existing local limits.

The violations identified in this Violation Notice are continuing.

The concerns identified in this Violation Notice under Item 1, concerning failure to respond to non-compliance according to the ERP, were previously addressed in VN-011108 dated October 22, 2020. You responded to our concerns on December 15, 2020, stating that Cadillac WWTP will respond to future failures to submit required reports "as specified in the VN-011108." As noted under Item 1, Cadillac WWTP is not responding to violations of industrial user permits according to the approved ERP.

The violations identified in this Violation Notice are violations of Michigan Administrative Code, Part 23, Pretreatment (Part 23), and the NPDES Permit.

Cadillac WWTP should take immediate action to achieve and maintain compliance with the terms and conditions of Part 23 and the NPDES Permit.

Please submit a Corrective Action Plan (CAP) addressing the above-listed required actions via MiWaters by November 30, 2021. The CAP must also include the following items:

1. A copy of any violation notice issued to CCI since the issue of this letter. The violation notice must comply with the ERP and require a return to compliance with the IU effluent permit limits.
2. A plan and proposed schedule to complete the review of the existing permit listed in this letter and to provide necessary updates as required by Items 2 and 4. The plan and schedule must also include completion of updates to the AAR Rinse Tank Facility Permit as required under VN-011108.
3. Cadillac WWTP must submit a description of the processes discharging to the sanitary sewer at the CCI facility and volume of facility flow. The description must include a process diagram indicating points of discharge to the sanitary sewer and from which processes the discharges originate. The submission must also include either a written determination of the type industrial user (SIU or CIU category) or a request for a categorical determination by EGLE including the items required under R 323.2311(b). If it is determined that CCI is a CIU, the response must also include a plan and proposed schedule to bring CCI into compliance with the categorical pretreatment standards.
4. A proposed schedule and plan for the evaluation of the existing local limits and determination of need for revisions. The evaluation must be technically based and include information regarding the maximum allowable headworks loading, collection system protection criteria, and worker health and safety, based upon data collection since the last local limits review.
5. A plan to provide the training necessary for staff to bring the pretreatment program into compliance with the requirements of Part 23 and the NPDES Permit, or to provide consultant support staff to assist with the required corrective actions above. The plan must include a proposed schedule for implementation.

If you have any factual information you would like us to consider regarding the violations identified in this Violation Notice, please provide them with your written response.

We anticipate and appreciate your cooperation in resolving this matter. Should you require further information regarding this Violation Notice or if you would like to arrange a meeting to discuss it, please contact me at LoweC9@michigan.gov; 989-330-4639, or EGLE, WRD, 2100 West M-32, Gaylord, Michigan 49735-9282.

Sincerely,

Claire Lowe

Claire Lowe
Gaylord District Office
Water Resources Division

Digitally signed by: Claire Lowe
DN: CN = Claire Lowe email = LoweC9@Michigan.
gov C = US O = EGLE OU = WRD
Date: 2021.09.30 12:25:07 -04'00'

cc: Mr. Donal Brady, EGLE
Mr. Charles Bauer, EGLE